> neighbors. What happens now with the Super Bowl used to happen every night. We were literally in sync.[75]

This was important. People measure their well-being against their peers. And for most of the 1945–1980 period, people had a lot of what looked like peers to compare themselves to. Many people—most people—lived lives that were either equal or at least fathomable to those around them. The idea that people's lives equalized as much as their incomes is an important point of this story we'll come back to.

5. Debt rose tremendously. But so did incomes, so the impact wasn't a big deal.

Household debt increased fivefold from 1947 to 1957 due to the combination of the new consumption culture, new debt products, and interest rates subsidized by government programs, and held low by the Federal Reserve.

But income growth was so strong during this period that the impact on households wasn't severe. And household debt was so low to begin with after the war. The Great Depression wiped out a lot of it, and household spending was so curtailed during the war that debt accumulation was restricted. So the growth in household debt-to-income from 1947–1957 was manageable.

Household debt-to-income today is just over 100%. Even after rising in the 1950s, 1960s, and 1970s, it stayed below 60%.

Driving a lot of this debt boom was a surge in home ownership.

The homeownership rate in 1900 was 47%. It stayed right about there for the next four decades. Then it took off, hitting 53% by 1945 and 62% by 1970. A substantial portion of the population was now using debt that previous generations would not—could not—have accessed. And they were mostly OK with it.

David Halberstam writes in his book *The Fifties*:

> They were confident in themselves and their futures in a way that [those] growing up in harder times found striking. They did not fear debt as their parents had … They differed from their parents not just in how much they made and what they owned but in their belief that the future